

FundedNext 25K 2-Step Drawdown Requirements

For a FundedNext \$25,000 2-Step Account (specifically the Stellar or Evaluation models), the drawdown rules are straightforward and trader-friendly. They use a Balance-Based Daily Limit and a Static Overall Limit.

Here are the exact requirements explained with examples:

1. Maximum Daily Loss Limit: 5% (\$1,250)

You are permitted to lose a maximum of 5% of your initial account balance in a single day. For a \$25k account, this means your maximum daily loss is permanently fixed at \$1,250.

This limit resets every day at midnight (server time) and is calculated based on your starting balance for that day.

- Example 1 (Starting flat): You start Monday with your initial \$25,000. Your daily loss limit is \$1,250. If your equity (including open, floating trades) drops below \$23,750 at any point during Monday, you fail.

- Example 2 (In profit): You start Tuesday with a balance of \$26,000. Your daily loss limit is still exactly \$1,250. Therefore, your equity cannot drop below \$24,750 (\$26,000 - \$1,250) at any point on Tuesday.

- Example 3 (Intraday profit): You start Wednesday at \$25,000. Your limit is \$23,750. During the morning, you close a trade for \$500 profit (Balance is now \$25,500). Your daily floor remains at \$23,750. This means for the rest of Wednesday, you can now afford to lose \$1,750 before breaching!

2. Maximum Overall Loss Limit: 10% (\$2,500)

Your total, all-time loss cannot exceed 10% of your initial account balance. For a \$25k account, your account equity must never drop below \$22,500.

Because FundedNext uses a Static overall drawdown for these accounts, this \$22,500 floor never moves up. It does not trail your profits!

- Example 1: You start the challenge and take a few losses. Your balance drops to \$23,000. You are still alive because you haven't hit the \$22,500 hard floor.

- Example 2 (The Static Advantage): You have a great week and grow your account from \$25,000 to \$28,000. Because the drawdown is static, your absolute floor remains locked at \$22,500. You now have a

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massive \$5,500 buffer (or 22% of your initial balance) to play with! You only have to worry about the \$1,250 Daily Limit at this point.

3. Why Your System is Perfect for This

As discussed, your AlgoEdge backend CircuitBreaker currently enforces a 3% Daily Limit, which automatically halts trading for the day if you are down \$750. Because FundedNext allows you \$1,250 a day, your system is heavily insulated against daily breaches.

Additionally, because your frontend displays the strict Peak-to-Trough drawdown (e.g., the 11.2% we looked at earlier), it means that you are evaluating your strategies against the harshest possible standard. If a strategy survives your backtester's 11.2% Peak-to-Trough drop, it will breeze through FundedNext's generous Static Overall Drawdown rules.